

Control and mitigation: Our Global IP Systems continued to operate almost seamlessly with productivity indicators for PCT, Madrid and the Hague all at 98% or above by December 2020. However, those of WIPO's Programs that are largely dependent on traditional, in-person implementation modalities for the holding of meetings and capacity building events continued to be significantly impacted by the pandemic. These Programs have adapted their content and delivery methods in order to respond to the temporary constraints caused by the pandemic.

- *Financial Risk*

Particularly in light of the Covid-19 situation, the risk that revenue would be lower than initially forecast, or that the value of some investments made under the investment strategies for operating, core and strategic cash pools could decrease, was exacerbated.

Control and mitigation: Filing numbers continued to remain resilient throughout 2020 with the Organizational income correspondingly strong. There was a significant planned 'buffer' between forecast revenue and planned expenditure. Investments continued to be under close review and oversight by the Advisory Committee on Investments with the assistance of independent investment advisors throughout the year and through monthly reporting to the IAOC.

- *Cyber Risk*

WIPO is exposed to the risk of cyber-attacks, potentially more so during remote working modalities, and the risk of malicious or accidental breach of data leading to unauthorized disclosure or misuse of WIPO's confidential information, or disruption of business operations remained.

Control and mitigation: WIPO continues to implement a number of phased fit-for-purpose information assurance strategies across governance, people, processes and technologies, to strengthen its information security posture and its resilience against evolving cyber security threats.

- *Strategic Risk*

Risk that WIPO's Global IP services fail to keep pace and remain the best value option for IP protection, or the perceived value of IP protection declines, in the context of a rapidly changed global economic, political and technological landscape, including from the Covid-19 pandemic.

Control and mitigation: WIPO will engage and communicate more effectively around the world on IP and connect it more clearly to the improvement of lives and livelihoods, and more broadly, to its power as a tool to catalyze economic and societal benefits. To ensure that our services continue to bring value to users, we will continue to scan, understand and use emerging technologies such as artificial intelligence, block chain, digital time stamping and digital media in improving our services.

3. *Monitoring, Oversight, Complaints and Response Mechanisms*

As Director General of WIPO, I am ultimately accountable for the effectiveness of the system of internal controls. My assertion is supported and informed by:

- A statement on internal control from the former Director General, referring to the period January 1 to September 30, 2020 which has been reviewed by me and the Risk Management Group and is supported by Management Representation Letters (MRL);
- The Deputy Directors General and Assistant Directors General in office in 2020, who have signed MRLs from which I derive assurance. These letters recognize their responsibility for having and maintaining, in the Sectors for which they were responsible, well-functioning systems and a mechanism for internal control aimed at preventing and/or detecting instances of fraud and major errors;
- The Risk Management Group (RMG) whose purpose is to promote a culture of responsible risk management in WIPO and reviews and monitors WIPO's financial situation, the key risks to the achievement of Expected Results and this present Statement together with the evidence that supports it;
- The Chief Ethics Officer, who is accountable for ensuring the design, development and implementation of an effective Ethics program to enhance integrity, compliance with ethics rules, and the ethical conduct of the Organization's business. WIPO's Code of Ethics, and policies on Financial Disclosure and Declaration of Interests, Protect Against Retaliation for Reporting Misconduct and for Cooperating with Duly Authorized Audits or Investigations further contribute to setting the right tone in this area;
- The Internal Oversight Division (IOD), on whose assurance and advisory services I rely, through reports of internal audit and evaluation as well as management implication reports resulting from investigations. These reports include recommendations, independent and objective observations on the efficiency and effectiveness